DE–1456 **11**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2015.

First Semester

MANAGEMENT CONCEPTS

(Upto 2012-13 Academic Year and 2013 Calendar year)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Distinguish between delegation of authority and decentralisation.

2. Explain the process of controlling.

3. Explain the Mc. Kinsey's 7-S framework.

4. Explain the various levels of planning.

5. Differentiate between line and staff organisation.

6. Discuss on the structure and process of organising.

7. Choose an organisation you know and identify its strengths and weaknesses. What are its special opportunities and threats in the external environment?

8. Explain how business process reengineering works.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Explain the life cycle theory of leadership.

10. Explain the behavioural science approach with the help of Maslow's theory.

11. Define MBO. Discuss the steps in MBO process.

12. What are the bases of departmentation? What type of departmentation do you propose for an organisation manufacturing computer hardware?

13. Explain the need for organisational hierarchy in large concerns. What are the factors that is to be considered while establishing an organisation?

14. "Is management a science or an art" – Explain.

15. "Planning and control are complementary to each other". Justify this statement and state the process of each.

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DE–1457 **12**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2015.

First Semester

MANAGERIAL ECONOMICS

(Upto 2012-13 Academic Year & 2013 Calendar Year)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Briefly explain the nature of managerial economics.

2. Explain the Law and characteristics of demand.

3. State the exception to Law of demand.

4. Explain the concept 'economies of scale'.

5. Discuss the uses and limitations of marginal cost pricing.

6. Explain the various types of Competition oriented pricing.

7. Explain the features of perfect competition.

8. What are the characteristics of Business cycles?

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Explain the application of managerial economics in business decision making.

10. What is Elasticity of demand? What are the determinants of elasticity of demand?

11. Explain the importance of cost concepts in managerial decision and various types of cost.

12. Explain the nature and managerial uses of production function.

13. Explain the reasons of profit maximization through cost minimization.

14. What is margin of safety? Explain the method of its measurement and its relation to profits.

15. Explain the concept of national income and discuss its relevance to business.

DE–1458 **13**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2015.

First Semester

GENERAL LAWS

(Upto 2012 – 13 Academic Year and 2013 Calendar Year)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Explain the features of the constitution of India.

2. Explain the rule of reasonable construction.

3. Distinguish between preliminary and final decrees.

4. What are the essentials of an arbitration agreement?

5. State the essentials of a valid transfer of property.

6. At what point of time is an instrument to be stamped?

7. Who can present documents for registration?

8. Write short notes on :

   (a) Equitable mortgage and

   (b) Usufructuary mortgage.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Enumerate the fundamental rights as in the constitution of India.

10. Discuss the general principles of interpretation.

11. Explain the jurisdiction and structure of civil courts.

12. "The award of an arbitrator is an instrument of offence and defence". Discuss.

13. What are the consequences of an instrument requiring to be stamped under the Indian Stamp Act, 1869 not being duly stamped?

14. "Registration of a document relates back to the date of its execution". Explain.

15. Discuss the properties which cannot be transferred under the transfer of property act, 1882.

DE–1459 **14**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2015.

First Semester

COMPANY LAW

(Upto 2012-13 Academic Year and 2013 Calendar Year)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. In what circumstances can veil of the corporate personality be lifted?

2. Explain the procedure for the change of registered office of a company from one state to another.

3. State the procedure to be followed for redemption of preference shares.

4. Explain the procedure relating to registration and satisfaction of change.

5. State the provisions of companies act relating to appointment of sole selling agents.

6. State the circumstances under which an extra-ordinary meeting can be called on requisition.

7. Write a note on a managing director.

8. State the rules regarding company deposits.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Write an essay on the administration of company law.

10. Explain the civil and criminal liabilities for misstatements in prospectus. Who are liable for such misstatements?

11. Discuss the restrictions on the allotment of shares under the companies act. Explain the effect of irregular allotment.

12. What are the different kinds of debentures? How do the debentures differ from shares?

13. Discuss the powers, duties and liabilities of directors.

14. What are the legal provisions for holding the annual general meeting of a company? What business is transacted at the meeting?

15. Explain the different ways in which a company can alter its capital.

DE–1460 **15**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2015.

First Semester

CORPORATE ACCOUNTING

(Upto 2012 – 13 Academic Year and 2013 Calendar Year)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. X ltd invited application for 10,000 shares of Rs. 100 each at discount of 6% payable which is as follows. On application Rs.25, On allotment Rs.34 and on first and final call Rs.35. The applications received were for 9000 shares and all of these were received except the first and final call on 100 shares which were forfeited. 50 shares were reissued @ Rs.90 as fully paid. Pass necessary journal entries.

2. X & Coy Ltd issued 60,000 equity shares of Rs. 10 each at a premium of Rs.2.50 per share payable on application. The amount payable on allotment was fixed at Rs. 4 per share and an equivalent sum was due on a call to be made. Total applications received were for 1,10,000 shares and after consulting the stock exchange, the following scheme of allotment was decided upon.

Category	A	B	C
Grouping of shares	1-100	101-500	Over 500
Number of applications received	1200	175	5
Number of shares applied for	70000	35000	5000
Number of shares allotted	42000	14000	4000

It was decided that excess the amount received on applications would be utilized in payment of allotment money and surplus, if any, would be refunded to the applicants. Samuel, who was one of the applicant belonging to category A had applied for 100 shares, defaulted in payment of allotment money. Theodore, who belonged to category C, and who had been allotted 800 shares failed to pay the call money. Their shares were forfeited, after the respective calls were made and reissued as fully paid up for Rs.8 and Rs.6 per share respectively. Calculate the amount transferred to capital reserve account.

3. X Co ltd was formed with capital of Rs.10,00,000 in Rs.10 shares, the whole amount being issued to the public. The underwriting of these shares was as follows.

M	N	O	P	Q	R
35,000	30,000	20,000	10,000	3,000	2,000

All the marked applications forms were to go in relief of the underwriters whose names they choose. The application forms marked by the underwriters were :

M	N	O	P	Q	R
10,000	22,500	20,000	7,500	5,000	Nil

Applications for 20,000 shares were received on forms not marked. Draw up a statement showing the number of shares each underwriter had to take up.

4. B Ltd was incorporated on 30th June 1989 to take over the business of T.Lal as from 01st Jan 1989. The financial accounts of the business for the year ended 31st December 1989 disclosed the following information's :

Sales	January to June	1,20,000	
	July to December	1,80,000	3,00,000
Less : Purchases	January to June	75,000	
	July to December	1,20,000	1,95,000
Gross Profit			1,05,000
Less:	Salaries	15,000	

Selling Expenses	3,000	
Depreciation	1,500	
Directors Remuneration	750	
Debenture Interest	90	
Administration Expenses (Rent, Rates, etc)	4,500	24,840
Profit for the year		80,160

You are required to prepare a statement apportioning the balance of profit between the period prior to and since incorporation and show the profit and loss appropriation account for the year ended 31st December 1989.

5. Write down the provisions for redeeming the redeemable preference shares under Companies Act.

6. A and B ltd carrying on similar business decided to amalgamate and for this purpose a new company AB being formed to take over the assets and liabilities of both companies and it is agreed that fully paid shares of Rs.100 each shall be issued by the new company to the value of the net assets of each of the old company.

Balance Sheet as on 31 December 1987

Liabilities	A-Ltd Rs.	B-Ltd Rs.	Assets	A-Ltd Rs.	B-Ltd Rs.
Share Capital of Rs. 50 each	50,000	40,000	Goodwill	5,000	2,000
General Reserve	20,000	–	Land & Building	17,000	10,000
Profit & Loss account	3,000	–	Plant & Machinery	24,000	16,000
Sundry Creditors	4,000	8,000	Furniture & Fixture	5,000	7,500
Bills Payable	4,000	–	Stock	10,000	7,500
Bank Overdraft	–	8,000	Debtors	12,000	7,000
			Cash	8,000	300
			Profit & Loss account	–	5,700
	81,000	56,000		81,000	56,000

The following will be the scheme of valuation of the business of the two companies. In the case of A ltd it is decided as

(a) to provide for reserve for doubtful debts at the rate of 5% on debtors.

(b) to write off Rs. 400 from stock and

(c) to write off 33.33% from plant and machinery and in the case of B ltd it is decided.

(i) to eliminate its goodwill and profit and loss account balance.

(ii) to write off bad dents to the amount of Rs.1000 and to provide reserve of 5% on the balance of debtors.

(iii) to write down plant and machinery at the rate of 10% and

(iv) to write off Rs.1,400 from the value of stock. Calculate the amount to be paid as purchase consideration.

7. From the following balance sheets given below prepare a consolidated balance sheet of Moti Ltd and its subsidiary company Choti Ltd. The interest of the minority shareholders of Choti Ltd are to be shown as a separate item. At the date of acquisition by Moti ltd of its holding of 2000 shares in Choti ltd the latter company had undistributed profits and reserve amounting to Rs. 5,000 none of which has been distributed since the date of acquisition.

Balance sheet of Moti and Choti Ltd as at 30th June 1985.

Liabilities	Moti	Choti	Assets	Moti	Choti
Shares of Rs. 10 each	1,20,000	30,000	Plant & Machinery	30,000	10,000
Trade creditors	15,000	5,000	Stock	18,000	3,000
General Reserve	25,000	6,000	Debtors	22,000	7,000
P & L a/c	12,000	9,000	Bank	5,000	5,000
			Shares in Choti of Rs. 10	25,000	–
			Freehold building	72,000	–
			Leasehold building	–	25,000
	1,72,000	50,000		1,72,000	50,000

8. The life fund of a life assurance company was Rs. 86,48,006 as on 31st December 1989. The interim bonus paid during the inter valuation period was Rs. 1,48,000. The periodical actuarial valuation determined the net liability at Rs. 74,25,000. Surplus bought forward from the previous valuations was Rs. 8,50,000. The directors of the company proposed to carry forward Rs. 9,31,000 and to divide the balance between the shareholders and the policyholders in the ratio of 1:10. Show
   (a) Valuation balance sheet and
   (b) Calculation of net profit for the valuation period.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Explain Accounting Standard 6 in connection with Depreciation Accounting.

10. S ltd issued 40,000 equity shares of Rs. 10 each at a premium of Rs. 2.50 each to the public. The amount was payable as to Rs 2. On application, Rs. 4.50 on allotment (including premium) and Rs.6 on call. Owing to heavy over subscription allotment was made as under.
   (a) Applicants for 23,000 shares (in respect of applications for 2,000 or more shares) were allotted 10,500.
   (b) Applicants for 48,000 shares (in respect of applications for 1,000 or more shares) were allotted 14,200 shares.
   (c) In respect of the remaining applicants, that is, for those who applies for 25,400 shares, allotment of 15,240 shares on pro rata basis. Excess application money was adjusted against subsequent dues and the final surplus was returned. Sudhakar to whom 300 shares were allotted on pro rata failed to pay the allotment money. Narayan who was allotted 450 shares on pro rata basis did not pay the call money. Their shares were forfeited after the call was made. Five hundred of these shares were reissued to Seshadri at Rs. 9 per share (the whole of Sudhakars share) being included. Prepare Cash Book and Balance Sheet.

11. The following is the summarized balance sheet of a company as on 30th April 1989.

Liabilities	Rs.	Assets	Rs.
4000,8% Redeemable Preference Shares of Rs. 100	4,00,000	Sundry Assets	18,00,000
3000,9% Redeemable Preference Shares of Rs.80	2,40,000	Cash at Bank	6,60,000
100000, equity shares of Rs. 10	10,00,000		
Share Premium Account	50,000		
Revenue Reserve	5,00,000		
Current Liabilities	2,70,000		
	24,60,000		24,60,000

It was decided to redeem both the classes of preference shares on 30th June as a premium of 5%. In May 1989 the company issued for cash so many equity shares of Rs.10 each as were necessary to provide for redemption of both classes of preference shares which could not otherwise be redeemed. The issue was fully subscribed and all the moneys were received. You are required to give the journal entries in the books of the company and draw up the amended balance sheet.

12. Calculate the maximum remuneration available to the Directors and Manager of Blue Print Co Ltd under section 309 and 387 of the Companies Act 1956 from the following particulars :

Ex gratia to an employee without liability	10,000	Loss on sale of fixed assets (wdv Rs. 37,000)	20,000
Subsidy received from Government	1,20,000	Preliminary expenses written off	10,000
Special depreciation	20,000	Provision for doubtful debts	25,000
Multiple shift advance	30,000	Profit on sale of Investment	60,000

Bonus to foreign technicians	90,000	Directors fee	15,000
Provision for taxation	8,00,000	Capital expenditure	1,50,000
Compensation paid to injured workman	20,000		

13. Green Ltd is absorbed by the yellow ltd. Given below the balance sheets of the companies, taken after revaluation of their assets on a uniform basis.

Liabilities	Green Ltd.	Yellow Ltd.	Assets	Green Ltd.	Yellow Ltd.
9,000 shares of Rs. 100, Rs. 80 paid up	7,20,000	–	Sundry assets	17,83,500	44,00,000
40,000 shares of Rs. 100, Rs. 60 paid up	–	24,00,000	Cash at bank	20,000	1,30,000
Reserve fund	6,50,000	13,00,000	Preliminary expenses	15,000	–
Profit and Loss a/c	2,78,500	6,40,000	Discount on issue of shares not written off	–	20,000
Creditors	1,40,000	2,10,000			
Bills payable	30,000	–			
	18,18,500	45,50,000		18,18,500	45,50,000

The holder of every three shares in the green ltd was to receive five shares in the yellow ltd plus as much cash as it is necessary to adjust the rights of shareholders of both the companies in accordance with the intrinsic values of the shares as per respective balance sheets. Calculate the intrinsic values of shares for the purpose of purchase consideration and draw up the balance sheet after absorption.

14. From the Balance Sheets and information given below prepare consolidated balance sheet :

Liabilities	Rs.	Rs.	Assets	Rs.	Rs.
Share capital @ Rs. 10	10,00,000	2,00,000	Sundry assets	8,00,000	1,20,000
Profit & Loss a/c	4,00,000	1,20,000	Stock	6,10,000	2,40,000
Reserves	1,00,000	60,000	Debtors	1,30,000	1,70,000
Creditors	2,00,000	1,20,000	Bills receivable	10,000	–
Bills payable	–	30,000	Shares in S 15,000 at Cost	1,50,000	–
	17,00,000	5,30,000		17,00,000	5,30,000

15. The following balances were extracted on the closing date 31st March 1990 from the books of Adarsh Bank Ltd. You are requested to prepare the Balance sheets and Profit and Loss account of the Bank :

Particulars	Rs.	Particulars	Rs.
Current deposits	45,500	P & L a/c as on 1.4.89	852
Savings bank a/c	14,520	Cash in hand	487
Fixed deposits	37,180	Cash with bank	6,869
Sundry creditors	454	Money at call	1,500
Deposit due to other banks secured by investments	12,200	Bills for collection beings bills receivable	22,100
Acceptances and Endorsements for customers	11,168	Capital issued @ Rs. 100, Rs. 50 paid up	10,000
Rebate on bills discounted	15	Dividend equalization fund	2,500
Br. Adjustment (cr)	4,555	Investments in shares	4,700
Reserve fund	10,000	Cash, credits and loans	44,100
Interest and discount received	5,800	Bills discounted	33,100
Exchange and Commission (cr)	1,700	Furniture and fixtures	500
General charges recovered	55	Depreciation	500
Investment in government securities	45,200	Interest accrued on investments	875
Stationery and Advertisements	400	Exchange and Commission paid	100
Directors fees	100	Interest paid	1,200
Miscellaneous expenses	300	Land and Building	3,500
Depreciation reserve	500	Salaries	2,400

DE–1461 **21**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2015.

Second Semester

HUMAN RESOURCE MANAGEMENT

(Upto 2012-13 Academic year and 2013 Calendar Year)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What are the challenges of HR managers?
2. Explain the barriers to effective selection.
3. Explain the criteria for evaluation of training programs.
4. Write a note on forced distribution method of appraisal.
5. Explain skill based pay system.
6. Explain the importance of HR planning.
7. What measures are adopted by organization to prevent accidents?
8. Explain the job evaluation methods.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain the importance of HRM function. Can it be outsourced?

10. Explain the HR needs forecasting techniques.

11. Elucidate the relation between selection recruitment and job analysis.

12. Elaborate the different kinds of training methods.

13. Explain the factors considered in fixing individual compensation.

14. Explain the theories of motivation.

15. Explain the need for personnel audit.

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DE–1462 **22**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2015.

Second Semester

BANKING AND INSURANCE LAWS

(Upto 2012–13 Academic Year and 2013 Calendar Year)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Describe the functions of commercial banks.

2. Describe any four functions of commercial banks in India.

3. Define and describe the terms banker and customer.

4. What is crossing of a cheque? Explain the different types of crossing.

5. Enumerate the different types of borrowers of a Commercial Bank.

6. How does insurance contract differ from a wager?

7. Define risk. What are the classification of risks?

8. What is general insurance? Briefly explain the major general insurance businesses in India.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Enumerate the recent developments of banking business in India.

10. Discuss the futures of E-banking and bringout its merits and constraints.

11. Explain with illustrations the different kinds of endorsements and bring out their significance.

12. What are the precautions that a banker should take in granting advances against shares of a Joint–stock company?

13. Outline the recent developments in insurance sector in India.

14. What are the risks covered under motor car Insurance? Explain the procedure for effecting Motor Insurance.

15. Explain the illustrate the fundamental principles of insurance.

DE–1463 **23**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2015.

Second Semester

DIRECT TAXES

(upto 2012-13 Academic Year and 2013 Calendar Year)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. State the tax liability of an individual on the basis of residential status.

2. What are perquisites? Explain the different types of perquisites?

3. State six incomes chargeable under other sources.

4. Write a brief note on rectification of mistakes and due date for filing the returns.

5. From the following particulars of income of Mr. Nagesh during the previous year 2012-13. Compute his taxable income for the AY 2013-14 if he is

   (a) Resident

   (b) Not ordinarily resident and

   (c) Non resident.

(i) Cash gift received in India from a relative in USA Rs. 10,000

(ii) Interest from deposits with an Indian co. received in UK Rs. 30,000

(iii) Income from business in Italy which is controlled from India Rs. 50,000

(iv) Income earned and received in Japan from bank deposits Rs. 15,000

(v) Past untaxed profits brought to India in previous year Rs. 20,000.

6. From the following particulars compute the taxable income from house property of Mr. X :

Municipal value Rs. 1,20,000

Actual rent received Rs. 1,50,000

Date of borrowing the loan 1.7.2006

Date of completion the construction 31.5.2010

Amount of loan borrowed Rs. 50,000

Rate of interest on loan 15% p.a.

7. Mr. Srikanth (residential) is employed by the center government since 2007. He submits the following particulars of his income and expenditure for the P.Y 2012-13. Compute his total income.

(a) Income from salary Rs. 5,00,000

(b) Income from other source Rs. 2,00,000

(c) Contribution towards RPF Rs. 7,00,000

(d) Deposit in notified annuity plan of LIC Rs. 5,000

(e) Own contribution towards NPS Rs. 50,000 and employers also contribution the same amount towards NPS.

8. Shaila owns two plants-plant I and plant II on April 1, 2012 (rate of depreciation 25%, depreciated value on 1st April 2012, Rs. 2,37,000). She purchases plant III on 31st May 2012 for Rs. 20,000 and sells plant I (on 12th December 2012) plant II (on 12th December 2012) and plant III (on 1st March 2013) for Rs. 10,000, Rs. 15,000 and Rs. 24,000 respectively. Determine the amount of depreciation.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Mrs. Hemamalini (age 42 years) is working as a director in Maruthi Suzuki Ltd. Mumbai her salary income details are as follows :

Basic salary Rs. 21,000 p.m

Bonus = 2 months basic pay

Commission 3% on sales. During the year she reached a sales target of Rs. 50,00,000.

Dearness allowance forming part of salary Rs. 7,000 p.m. Medical allowance Rs. 1,400 p.m. (medical expenses were Rs. 20,000) Entertainment allowance Rs. 3,000 p.m.

Children's hostel allowance for her children @ Rs. 500 p.m per child Rs. 12,000; Holiday home facility at Kulu Rs. 26,000, RPF company's contribution Rs. 6,000 p.m; RPF own contribution Rs. 5,000 p.m Interest accrued on 15th June 2012 RPF @ 11% Rs. 44,000. Diwali gift Rs. 7,000.

She has been provided with rent free furnished accommodation in Mumbai for which company pays monthly rent of Rs. 10,000 and cost of furniture being Rs. 60,000. Honda city car above 1600cc has been provided along with driver for both private and official use. Company owns the car and spent Rs. 55,000 on petrol and Rs. 36,000 on driver salary. Hemamalini paid professional tax Rs. 2,400. Compute taxable salary for the AY 2013-14.

10. Smt. Kalyani owns 3 house properties. House I and House II are used for her residential purposes and House III is let out on a monthly rent of Rs. 8,000. Following are the other particulars of these house properties.

	House I	House II	House III
Municipal valuation	60,000	30,000	90,000
Fair rent	85,000	32,000	95,000
Standard rent	65,000	36,000	85,000
Municipal taxes paid	Rs. 10% of MV	10% of MV	10% of MV
Vacancy period	–	–	2 months
Loss due to vacancy	–	–	16,000
Interest on capital borrowed for construction of house	1,41,600	–	–

(Rs. 9,44,000 is borrowed at 15% per annum on April 10, 2011 construction is completed on March 10, 2012 and loan is yet to be repaid) Smt. Kalyani could not occupy House II for two months commencing from 1st December 2012. The particulars given above are related to financial year 2012-13.

11. From the following particulars compute the total income of Shyam (resident) for the assessment year 2013-14.

(a) Plant and Machinery purchased in 1992 at a cost of Rs. 10,00,000. Depreciation allowed from 1.1.95 to 31.3.2012 Rs. 4,50,000. Sale price of plant and machinery on 30.6.2012 Rs. 9,00,000.

(b) Sale price of building purchased in 1983-84 (CII) 16) at the cost of Rs. 50,000 and cost of improvements from made in 1985-86 (CII 133) Rs. 30,000 is Rs. 6,50,000.

(c) Business income Rs. 1,00,000

(d) Sale of rights entitlement on 15.9.2012 for Rs. 35,000. These right shares were offered to him on 14.8.2012 on account of his share holding in A Ltd. Cost inflation index for 2012-13 is Rs. 852.

12. Mrs. Narayan submit the following particulars of Income from other sources for the year ended 31.3.2013.

    (a) Family pension from Govt. of Karnataka yearly Rs. 42,000

    (b) Royalty from books written of Rs. 20,000 (expenses incurred for this purpose Rs. 2,500)

    (c) Renumeration from articles published in a magazine Rs. 2,000

    (d) Cash worth Rs. 1,00,000 was found in her private locker. The source of which could not be explained by her

    (e) Interest on fixed deposit in a bank Rs. 15,000 (Gross)

    (f) Rent from subletting a house Rs. 1,500 p.m (rent paid to the owner Rs. 1,000 p.m and repair expenses Rs. 200)

    (g) Winning from lottery net Rs. 70,000 (purchase of lottery Rs. 100)

    (h) Winning from horse race Rs. 35,000 (Net). Compute her taxable income from other sources for the A.Y. 2013-14.

13. Following are the taxable income of Mr. Karthik for PY 2012-13 :

    (a) Profit of a hotel business in Sydney – Rs. 2,00,000

    (b) Dividend declared in Paris but received in India – Rs. 60,000

    (c) Income from transfer of long term capital asset in India – Rs. 1,10,000

    (d) Royalty received in Germany from Mr. Jason, a resident in India for technical services provided for a business carried on in Germany – Rs. 70,000

(e) Dividend from a domestic company Rs. 25,000

(f) Interest on England Development Bonds – (1/5 received in India) – Rs. 1,00,000

(g) Income accrued in Bangalore but received in Singapore – Rs. 60,000

Compute the total taxable income of Mr. Karthik for the AY 2013-14.

14. State the provision regarding set off and carry forward of losses under the head of income from other sources.

15. Explain the different types of assessments under income tax act.

DE–1464 **24**

DISTANCE EDUCATION

M.B.A. (C.S.) DEGREE EXAMINATION, MAY 2015.

Second Semester

ADVANCED COMPANY LAW

(Upto 2012–13 Academic Year and 2013 Calendar Year)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Write a note on appointment of auditors.

2. State a note of supremacy of minority.

3. Discuss the winding up process in USA.

4. What is investigation? What are its objects?

5. Explain the regulations of multinational corporations entering into India.

6. Explain the rationale behind the prohibition of insider trading.

7. Explain briefly the consequences role of liquidators.

8. Point out the salient features of company law in USA in relation to MNCs.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain the meaning of liquidator, explain his duties and powers.

10. Discuss the powers of inspector appointed to conduct investigation into the affairs of a company.

11. Enumerate the distinguishing features of company law in UK and Japan.

12. Discuss the rights, duties and liabilities of auditors under the Companies Act, 1956.

13. Write the classification and legal structure of multinational corporations.

14. Explain the role of SEBI in relation to anti-insider trading regulations.

15. Describe the procedures for removal and resignation of auditors.

DE–1465 **25**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2015.

Second Semester

COST AND MANAGEMENT ACCOUNTING

(Upto 2012–13 Academic Year and 2013 Calendar Year)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Distinguish between Cost Accounting and Management Accounting.

2. What are the advantages of marginal costing?

3. Discuss the objects of financial statement analysis.

4. What is the difference between Fund Flow Statement and Cash Flow Statement?

5. Compute the economic batch quantity for a company using batch costing with the following information:

Annual demand for the component	24,000
Set-up cost per batch	Rs.120
Carrying cost per unit of production	Re.0.36

6. A product passes through three processes. During March 2014, 1,000 finished units were produced with the following expenditure:

	Process A Rs.	Process B Rs.	Process C Rs.
Direct Material	1,500	2,600	2,000
Direct Labour	5,000	4,000	3,000

Overhead expenses amounted in all to Rs. 6,000. They are to be apportioned on the basis of direct wages. Main raw materials issued to Process A were worth Rs. 6,000. Ignoring the question of stock prepare the Process Accounts concerned.

7.

Debtors Velocity	3 months
Creditors Velocity	2 months
Stock Velocity	8 Times
Bills Payable	Rs.10,000
Bills Receivable	Rs.4,000
Total Sales	Rs.2,40.000

The closing stock is Rs.2,000 more than the opening stock.

Gross profit on the above sales Rs. 40.000.

There are no cash sales and cash purchased.

The accounting year consists of 360 days.

Calculate:

(a) Sundry Debtors

(b) Sundry Creditors

(c) Closing Stock.

8. From the following Balance sheets of a Sole trader, prepare a schedule of changes in working capital and a funds flow statement:

Liabilities	2012 Rs.	2013 Rs.	Assets	2012 Rs.	2013 Rs.
Capital	63,000	1,00,000	Cash	15,000	20,000
Long-Term Loans	50,000	60,000	Debtors	30,000	28,000
Trade Creditors	42,000	39,000	Stock	55,000	72,000
Bank Overdraft	35,000	25,000	Land and Buildings	80,000	1,00,000
O/S Expenses	5,000	6,000	Furniture	15,000	10,000
	1,95,000	2,30,000		1,95,000	2,30,000

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Explain the Scope and Nature of Management Accounting.

10. A factory's normal capacity is 1,20,000 units per annum. The estimated costs of production are as under:

Direct Materials Rs. 3 per unit;

Direct Labour Rs. 2 per unit (subject to a minimum of Rs. 12,000 p.m.)

Overheads - Fixed Rs. 1,60,000 per annum;

Variable Rs.2 per unit;

Semi- variable Rs. 60,000 per annum upto 50% capacity and an additional

Rs. 20,000 for every 20% increase in capacity or part thereof.

In 2013 the factory worked at 50% capacity for the first three months but it was expected that it would work @ 80% capacity for the remaining 9 months.

During the first three months, the selling price per unit was Rs. 12. What should be the price in the remaining nine months to produce a total profit of Rs. 2, 18,000?

11. A company undertook a contract for construction of a large building complex. The construction work commenced on 1st April, 2013 and the following data are available for the year ended 31st March, 2014.

	Rs. '000		Rs. '000
Contract Price	35,000	Plant hire Charges	1,750
Work Certified	20,000	Wages related Costs	500
Progress Payments Received	15,000	Site Office Costs	678
Materials Issued to Site	7,500	Head Office Expenses Apportioned	375
Planning and Estimating Costs	1,000	Site Expenses Incurred	902
Direct wages paid	4,000	Work not Certified	149
Materials Returned From Site	250		

The contractors own a plant which originally cost Rs. 20 lakhs has been continuously in use in this contract throughout the year. The residual value of the plant after 5 years of life is expected to be Rs. 5 lakhs. Straight line method of depreciation is in use.

As on 31st March, 2014 the direct wages due and payable amounted to Rs. 2,70,000 and the materials at site were estimated at Rs. 2,00,000.Prepare the contract account for the year ended 31st March, 2014.

12. From the following information, calculate:

(a) P/V ratio

(b) Break-even point

(c) Margin of safety

	Rs.
Total sales	3,60,000
Selling price per unit	100
Variable cost per unit	50
Fixed Cost	1,00,000

(d) If the selling price is reduced to Rs. 90, by how much is the margin of safety reduced?

13. From the following information presented by a firm for the year ended 31st December, prepare the Balance Sheet:

Sales to Net Worth	5 Times
Current Liabilities to Net Worth	50%
Total Debts to Net Worth	60%
Fixed Assets to Net Worth	60%
Current Ratio	2
Sales to Stock	10 Times
Debtors Velocity	9 Times
Annual Sales	Rs. 15,00,000
Cash Sales	40% of Sales

14. From the following Balance Sheets of Excel Ltd., make out Cash Flow Statement.

Liabilities	2013 Rs.	2014 Rs.	Assets	2013 Rs.	2014 Rs.
Equity Share Capital	3,00,000	4,00,000	Goodwill	1,15,000	90,000
8% Redeemable			Land & Buildings	2,00,000	1,70,000
Pref. Share Capital	1,50,000	1,00,000	Plant	80,000	2,00,000
General Reserve	40,000	70,000	Debtors	1,60,000	2,00,000
Profit & Loss	30,000	48,000	Stock	77,000	1,09,000
Proposed Dividend	42,000	50,000	Bills Receivable	20,000	30,000
Creditors	55,000	83,000	Cash in hand	15,000	10,000
Bills Payable	20,000	16,000	Cash at Bank	10,000	8,000
Provision for Tax	40,000	50.000			
	6,77,000	8,17,000		6,77,000	8,17,000

Additional Information

(a) Depreciation of Rs. 10,000 and Rs. 20,000 have been charged on Plant and Land and Buildings in 2014.

(b) An interim dividend of Rs. 20,000 has been paid in 2014.

(c) Rs. 35,000 Income tax was paid during 2014.

15. The information given below has been taken from the cost records of a factory in respect of Job No.707:

Direct Material		Rs.4,010
Wage details:		
Department	-	A : 60 hours @ Rs.3 per hour
	-	B : 40 hours @ Rs.2 per hour
	-	C : 20 hours @ Rs.5 per hour

The variable overheads are as follows:

Department	-	A: Rs. 5,000 for 5,000 hours
	-	B : Rs. 3,000 for 1,500 hours
	-	C : Rs. 2,000 for 500 hours

Fixed expenses estimated at Rs. 20,000 for 10,000 working hours. Calculate the cost of the job no.707 and the price for the job to give a profit of 25% on the selling price.

DE–1466 **31**

DISTANCE EDUCATION

M.B.A. (CS). DEGREE EXAMINATION, MAY 2015.

Third Semester

ORGANISATIONAL BEHAVIOUR

(upto 2012-13 academic year and 2013 calendar year)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Explain the basic concepts of organizational behaviour.

2. What impact does globalization have on managing employees?

3. How does personality relate to organizational behaviour?

4. What are the various sources of stress?

5. State the various levels of otganizational culture.

6. What is the difference between quality circles and self-managed teams?

7. Explain the various types of communication in an organization.

8. Explain the types of change in an organization.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain the global scenario of organizational behaviour.

10. Discuss have an understanding of attitudes is useful for the study of organizational behaviour.

11. State the qualities required for an effective leader.

12. Explain the changing organizational climate and its implications on organizational behaviuor.

13. Explain the barriers to effective communication in an organization.

14. Explain the factors influencing the political behavior on an organizational behaviour.

15. What is organisatonal change? Describe the characteristics of change.

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DE–1467 **32**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2015.

Third Semester

LABOUR AND INDUSTRIAL LAWS

(upto 2012-13 Academic Year & 2013 Calendar Year)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What are the provisions regarding working hours of adults in the factories?

2. Explain the rules regarding notice of accident and its proper manner under the Workmen's compensation Act, 1923.

3. Define the term strike. Enumerate the statutory provisions prohibiting strikes in a public utility service.

4. How does the employees' State Insurance Act, 1948 provide the adjudication of disputes and claims?

5. State the provisions regarding the employees' provident fund scheme.

6. What are the provisions of Trade Unions Act, 1926 in relation to registration trade unions?

7. Explain the rule of set on and set off of allocable surplus.

8. What are the rules relating to nomination by an employee under the payment of Gratuity Act, 1972?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. State the provisions of the factories Act, 1948 with regard to health and welfare of workers.

10. What are the duties and powers and conciliation officers works committee, and Boards of conciliation in settlement of industrial disputes?

11. Discuss the liability of the employer to pay compensation for accidents arising out of and in the course of employment.

12. How are the inspectors appointed under the ESI Act, 1948 and what are their functions and duties?

13. What are the rules as to determination and recovery of the amount of gratuity under the payment of gratuity Act, 1972?

14. Discuss the provisions of the Employees. provident funds and miscellaneous provisions Act, 1952 relating to provident fund scheme and pension scheme.

15. What are the rules for determination and distribution of bonus? How can bonus be recovered by the employees?

DE–1468 **33**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2015.

Third Semester

SECURITIES LAWS AND FINANCIAL MARKETS

(Upto 2012-13 Academic Year and 2013 Calendar Year)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Explain how registration is being granted to the merchant banker.

2. What is the procedure of inspection made by SEBI and how SEBI will take action against default by intermediaries?

3. Discuss the different types of securities for mutual fund investment.

4. Explain the legal structure of mutual fund and discuss the responsibilities of board of trustees.

5. Examine the concept of credit rating and briefly explain about the various rating agencies in India.

6. Differentiate between futures and options.

7. Explain the present status of regulatory authorities in capital market.

8. Explain the constituents of Indian financial system.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. "Financial intermediaries have to perform the task of financial innovation to meet the dynamically changing needs of the economy" – Discuss.

10. Discuss the SEBI rules and regulations of merchant banker in India.

11. To what extent commercial banks in India are better fixed to take up the mutual fund business?

12. Discuss the code of conduct of SEBI for primary issues.

13. Examine the role of credit rating agencies in India.

14. Discuss about the various types of capital market instruments.

15. Explain the present trend prevailing in the international capital market.

DE–1469 **34**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2015.

Third Semester

INDIRECT TAXES

(Upto 2012-13 Academic Year and 2013 Calendar Year)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. State the merits of indirect taxation.

2. What are excisable goods?

3. Differentiate between intra-state sale and inter-state sale.

4. What are the various forms used in CST Act?

5. What are the objectives of VAT?

6. What are the duties of customs officers?

7. Explain the various modes of assessment under service tax.

8. Explain the method of availing CENVAT.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain different kinds of excise duty.

10. What are the different types of rates of duties of customs?

11. Explain the provisions of customs act regarding levy and exemption from customs duty.

12. Discuss the method of removal of goods from central excise.

13. Explain the services in respect of which service tax is payable.

14. Enumerate the advantages of CENVAT.

15. How will you determine taxable turnover under the CST act? Explain.

DE–1470 **35**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2015.

Third Semester

COMPANY SECRETARIAL PRACTICE

(Upto 2012–13 Academic Year and 2013 Calendar Year)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What are the privileges enjoyed by a private company?

2. List down the differences between share certificate and share warrant.

3. Highlight the rules regarding directors remuneration according to Sec. 198.

4. What are the contents of the Statutory Report?

5. Give the form and content of Income and Expenditure statement.

6. State the importance of auditor's report.

7. Spell out the difference between members and creditors voluntary winding up.

8. Explain the procedure for winding up of the companies by the court.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain the provisions relating to application and allotment of shares.

10. What are the provisions relating to transfer according to Sec. 108 to 112?

11. Under what circumstances the director can be removed by the shareholder, Central Government, Company Law Board?

12. Explain the circumstance when is a ordinary, special resolution is required.

13. Sec. 227 deals with the rights, powers and duties of auditors. Explain.

14. What are the consequences of winding up of the company relating

    (a) to the shareholder

    (b) to the creditor

    (c) to servants?

15. Explain the types of voluntary winding up of a company.

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DE–1471 **36**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2015

Third Semester

CORPORATE RESTRUCTURING: LAW AND PRACTICE

(Upto 2012–2013 Academic Year and 2013 – Calendar Year)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Explain the need for corporate restructuring.

2. Explain the role of value creation in Mergers and Acquisition.

3. What do you mean by Fairness of Exchange Ratio?

4. What are the types of take over bids?

5. Does SEBI approve the draft letter of offer.

6. What do you mean by Reverse Merger. Under what conditions can do this.

7. What do you mean by post merger reorganisation?

8. Explain the conditions applicable for buy–back of shares.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Explain the BCG growth share matrix while doing strategic portfolio analysis.

10. What are the informations to be provided while preparing the scheme of amalgamation?

11. What do you mean by Bill out takeovers? Explain the manner of acquisition and evaluation of bids.

12. Explain the provisions relating to carry forward and set–off of accumulated loss and unabsorbed depreciation allowance in amalgamation or demerger.

13. Explain the factors responsible for post merger reorganisation.

14. Explain the rules and regulations of SEBI under Buy–back through tender offer.

15. Explain the recent developments of mergers and acquisitions carried out in the global scenario.

DE–1472 **41**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2015.

Fourth Semester

DRAFTING AND CONVEYANCING

(Upto 2012-13 Academic year and 2013 Calendar year)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Define the term drafting and distinguish it from conveyancing.

2. What are the components of Deed of Transfer of Property?

3. What do you understand by Memorandum of pledge of movables?

4. What do you mean by Mortgage by deposit of title deeds?

5. Draft a memo order to an employee who committed a mistake.

6. What is the importance of visual communication in Report Writing?

7. How to draft a petition to appellate authorities?

8. Write the types of writs.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Draft the specimen of appointment order for a company secretary.

10. What are the legal implications and requirements of drafting?

11. Write a letter of termination of an agency.

12. Draft a letter to a friend congratulating him on his becoming chairman of the company.

13. Explain the usual terms and conditions in a agreement to sell or purchase.

14. Draft a specimen deed of assignment of patent.

15. What are the points to be considered while preparing an application to financial institutions?

DE–1473 **42**

DISTANCE EDUCATION

M.B.A.(C.S.) DEGREE EXAMINATION, MAY 2015.

Fourth Semester

ECONOMIC LEGISLATIONS

(Upto 2012 – 13 Academic Year and 2013 Calendar Year)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Enumerate the powers of the Central Government to specify small scale industries.

2. Explain the following :

   (a) Anti-competitive Agreements and

   (b) Competition Advocacy.

3. Discuss the provisions of dealing in foreign exchange.

4. Explain the objects and scope of Environment Protection Act, 1986.

5. How to obtain consent of the State Board for outlets and discharges?

6. What restrictions have been imposed on use of certain industrial plants in an air pollution control areas?

7. What are the basic rights of consumers under the Consumer Protection Act, 1986?

8. State the powers of Special Director (Appeals) and the Appellate Tribunal in disposing off the appeals.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Discuss the regulation of scheduled industries through registration and licensing under the IDRA, 1951.

10. Explain the powers of the Central Government under the Competition Act.

11. What is a capital account transaction? State the provisions of FEMA with respect to regulation of such transactions.

12. Explain the provisions as regards constitution of Central and State Boards under the Water (Prevention and Control of Pollution) Act. State the functions also.

13. Discuss the powers of the State Pollution Control Board to enter and inspect a premises under the Air Prevention and Control of Pollution Act, 1981.

14. Describe the scheme of regulation and the powers of the Central Government under Environment Protection Act, 1986.

15. Where and how can a complaint be made? State the jurisdiction of the various redressal agencies in this regard.

DE–1474 **43**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2015.

Fourth Semester

SECRETARIAL AND MANAGEMENT AUDIT

(Upto 2012 – 2013 Academic Year and 2013 Calendar Year)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Discuss the recognitions secured for company secretaries under company law.

2. What are the duties of secretarial auditor?

3. Explain the importance of status report.

4. What points should be kept in mind while making securities audit relating to issue of securities.

5. "Understanding the relationship between risk and control is important in system audit". Elaborate.

6. Differentiate between management audit and cost audit.

7. "Management audit is a comprehensive critical review of all aspects on processes of management". Critically examine.

8. What are the requirements of cost audit report with reference to stores and spare parts?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Explain the various services rendered by practicing company secretaries.

10. Prepare a check list for conducting secretarial audit.

11. Explain the secretarial standards with regard to Board meeting and general meeting.

12. What is securities audit? How can a auditor act diligently to prevent fradulent and unfair practices?

13. Enumerate the various steps involved in conducting systems audit.

14. State the role of the management audit for in relation to the success of a business enterprise.

15. What are the advantages of cost audit to (a) society and (b) the company?

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DE–1475 **44**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2015

Fourth Semester

INTERNATIONAL BUSINESS

(Upto 2012-13 Academic Year and 2013 Calendar Year)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Factors influencing international business.

2. Explain the UN code of conduct of MNC's.

3. Explain the features of ASEAN.

4. Explain the restrictive clauses in FDI.

5. Explain the role and functions of UNCTAD.

6. How commercial disputes are settled in International business?

7. What are the various instrument of international business trade policy?

8. Bring out the differences between TNC and MNC.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. How product life cycle is carried out in International Business marketing?

10. Bring out in detail the selection process carried out in International business.

11. Bring out the concepts of joint venture in International business.

12. How anti-dumping duties and countervailing duties help WTO?

13. State the procedure for International business commercial arbitration.

14. Explain in detail the trade related property rights.

15. Explain the structure, functions and areas of operation in WTO.

DE–1476 **45**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2015.

Fourth Semester

CORPORATE FINANCIAL MANAGEMENT

(Upto 2012-13 Academic Year and 2013 Calendar Year)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Briefly explain the key activities of the financial manager.

2. Why IPO's are generally under priced?

3. What regulations apply to preferential allotment?

4. How are net working capital, liquidity, technical insolvency and risk related?

5. What are the features of trade credit as a short-term source of working capital finance?

6. Write a note on the important determination of the capital structure of a firm.

7. How is the cost of equity calculated using the dividend growth model approach?

8. Explain the formula given by Walter for determining dividend policy.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Contrast the salient features of the traditional and modern approaches to financial management.

10. What has been the pattern of corporate financing in India?

11. What strategies are available to a firm for financing its working capital requirement?

12. The following annual figures related to XYZ Co.

	Rs.
Sales (at two month's credit)	36,00,000
Materials consumed (two months credit)	9,00,000
Wages paid (monthly in arrear)	7,20,000
Manufacturing expenses outstanding at the end of the year (cash expenses are paid one month in arrear)	80,000
Total administrative expenses, paid as above	2,40,000
Sales promotion expenses, paid quarterly in advance	1,20,000

The company sells its products on gross profit of 25%. Counting depreciation as part of the cost of production. It keeps one month's stock each of raw materials and finished goods, and a cash balance of Rs. 1,00,000.

Assuming a 20% safety margin, calculate the working capital requirements of the company on cash cost basis. Ignore work-in-process.

13. *ABC* company sold Rs. 1,000, 6% debentures carrying no maturity date to the public a decade earlier. Interest rates since have risen so that debentures of the quality represented by this company are now selling at 9% yield basis.

    (a) Determine the current indicated market price of the debentures would you buy the debentures for Rs. 700? Explain your answer.

    (b) Assuming that debentures of the company are selling at Rs. 850 and it the debentures have 8 years run to maturity, compute the approximate effective yield an investor would earn on his investment?

14. Explain briefly the view of traditional writers on the relationship between capital structure and the value of firm.

15. The EPS of a company is Rs. 16. The market capitalisation rate applicable to the company is 12.5%. Retained earnings can be employed to yield a return of 10%. The company is considering a pay-out of 25%, 50%, 75%. Which of these would maximise the wealth of shareholders as per Walter's model.